in July 1956. Sir James Taylor's efforts to get him to the RBI had finally borne fruit.

Taylor had been making efforts to secure Deshmukh's services since April 1936 when Sir Sikander Hyat-Khan after a visit to Lahore said that he may have to return to the Punjab. As a result Taylor wrote to Sir Eyre Gordon, Revenue Member, CP and Berar, saying that they were on the look out for a suitable Indian officer who might ultimately fill the post of one of the two Deputy Governors if found suitable, and would Deshmukh fit the bill. Sir Eyre Gordon wrote back to Taylor observing that he considered Deshmukh suitable for the RBI in every way but there was very little chance of him being spared by the government which had just had him trained for dealing with ways and means and other finance problems that would arise under the new Act, and needed Deshmukh themselves.[4]

Deshmukh's services were once again requested for in 1938 but the RBI was told that he was not available. In the meanwhile, Manilal Nanavati (later Sir) an expert on agricultural credit was appointed as Deputy Governor which solved the problem of finding an Indian Deputy Governor for the time being. But there was also a feeling in powerful circles that the interests of the empire demanded a European Deputy Governor who would enjoy the confidence of the Bank of England. Taylor resisted this idea till it seemed to lose momentum but towards the end of 1938, the India Office raised the question of what would happen if Taylor fell ill or took long leave.

Taylor continued to procrastinate about importing a European Deputy Governor but suggested a liaison officer who would keep the Government of India in touch with developments at the bank. By early 1939 he had suggested Deshmukh's name which was turned down by Grigg mainly on the unfair supposition that the Gujarati members on the Central Board, particularly Purshotamdas, would not take too kindly to the idea of a Maharashtrian being appointed to the post. Nothing could have been further from the truth as it was Purshotamdas who led the battle to make Deshmukh the RBI's first Indian Governor. There was also the fear that if an Indian was made the Deputy Governor, later, there would be the inevitable demand to make him Governor, and with no European Deputy Governor, the RBI would be completely Indianized. But things changed when Raisman became the Finance Member. He not only had a hand in the grooming of